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11

Understanding Accounting and Financial Information – Bagian 1



Learning Objectives

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BAGIAN 1

PART 1. Demonstrate the role that **accounting and financial information** play for a business and its stakeholders

PART 2. List the steps in **the accounting cycle**, distinguish between **accounting and bookkeeping**, and explain how computers are used in accounting.

PART 3. Explain **how the major financial statements differ.**

What's Accounting?

- **Accounting --** *Recording, classifying, summarizing and interpreting of financial events and transactions in an organization to provide interested parties needed financial information.*

- **Accounting reports** and **financial statements** reveal as much about a **business's health** as pulse and blood pressure readings tell us about a person's health

- Outside parties - like employees, owners, creditors, unions, investors and the government - make use of a firm's accounting information.

Users of Accounting Information

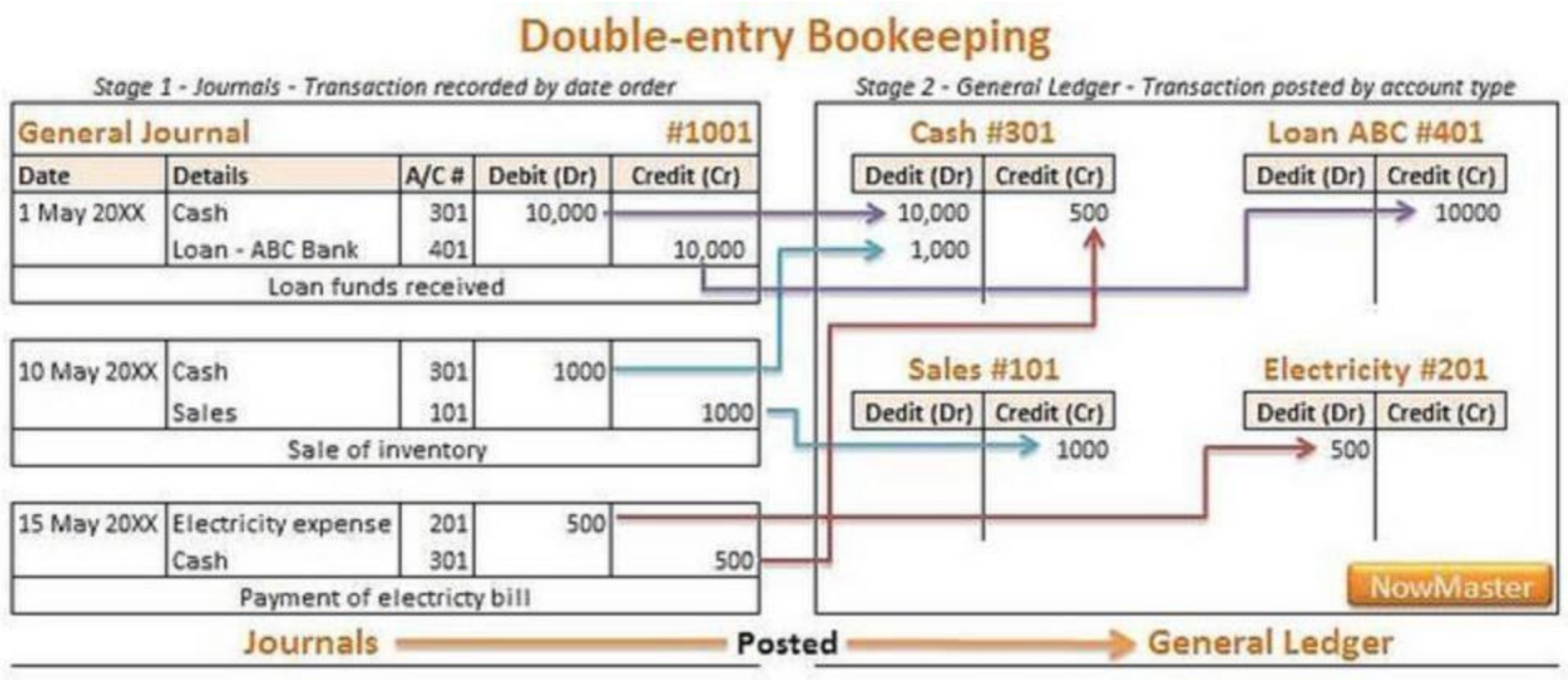
USERS	TYPE OF REPORT
• Government taxing authorities (e.g., the Internal Revenue Service)	• Tax returns
• Government regulatory agencies	• Required reports
• People interested in the organization's income and financial position (e.g., owners, creditors, financial analysts, suppliers)	• Financial statements found in annual reports (e.g., income statement, balance sheet, statement of cash flows)
• Managers of the firm	• Financial statements and various internally distributed financial reports

The Accounting System

- The method we use to record and summarize accounting data into reports



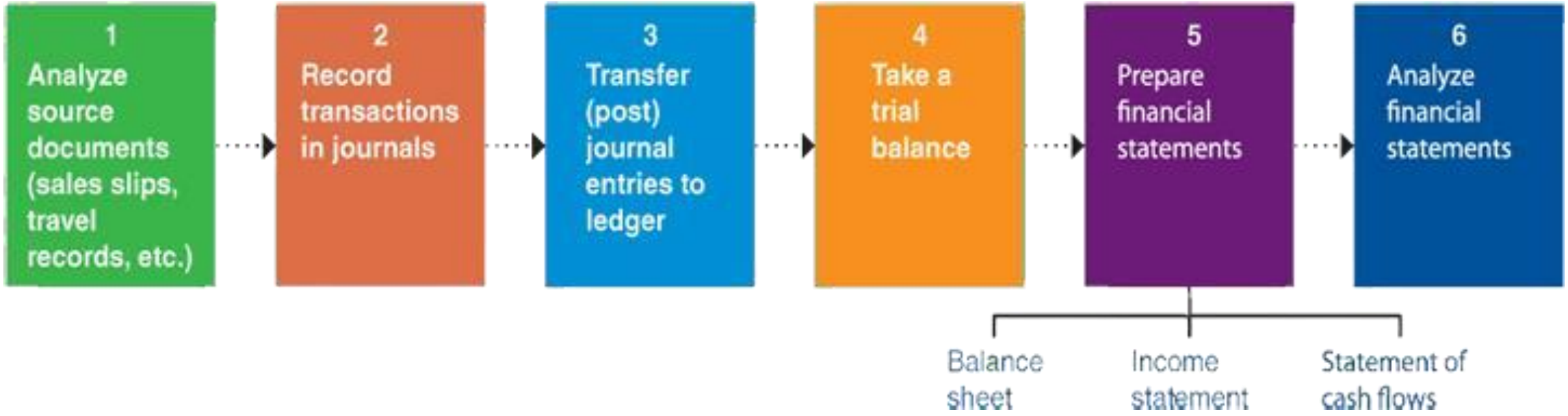
Journal and Ledger



The Accounting Cycle

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- **Accounting Cycle --** *A six-step procedure that results in the preparation and analysis of the major financial statements.*



Bookkeeper's Role

- **Bookkeeping --** *The recording of business transactions. Bookkeepers divide a firm's transactions into meaningful categories and post them into a record book or computer program called a* **journal.**

- **Double-Entry Bookkeeping --** *Bookkeepers record all transactions in two places so they can check one list of transactions against the other for accuracy.*

Bookkeeper's Tools

- **Ledger --** *A specialized accounting book or program where all information is in one place.*

- **Trial Balance --** *A summary of all the information in the account ledgers.*



Technology and Accounting

- Computerized accounting programs post information instantly and from remote locations.

- Example of accounting software:



Understanding Key Financial Statements

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Financial Statement

A summary of all the financial transactions that have occurred over a particular period.

Key financial statements

Shows the **revenue** affirm earned selling its products compared to its **selling** costs (profit or loss) over a specific period of



Details what the company **owns** and **owes** on a certain day

Highlight the difference between **cash coming in and cash going out** of a business

1. The Balance Sheet

- **Balance Sheet --** *The financial statement that reports a firm's financial condition at a specific time.*

- **Fundamental Accounting Equation --** *The basis for the balance sheet.*

- The equation must always be balanced and includes the formula:

Assets = Liabilities + Owners Equity

PART 3

CASE 1: HARVEST GOLD'S BALANCE SHEET

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HARVEST GOLD
Balance Sheet
December 31, 2018

Assets			
① Current assets			
Cash		$ 15,000	
Accounts receivable		200,000	
Notes receivable		50,000	
Inventory		335,000	
Total current assets			$600,000
② Fixed assets			
Land		$ 40,000	
Building and improvements	$200,000		
Less: Accumulated depreciation	–90,000		
		110,000	
Equipment and vehicles	$120,000		
Less: Accumulated depreciation	–80,000		
		40,000	
Furniture and fixtures	$26,000		
Less: Accumulated depreciation	–10,000		
		16,000	
Total fixed assets			206,000
③ Intangible assets			
Goodwill		$ 20,000	
Total intangible assets			20,000
Total assets			$826,000

Liabilities and Owners' Equity			
④ Current liabilities			
Accounts payable		$ 40,000	
Notes payable (due June 2019)		8,000	
Accrued taxes		150,000	
Accrued salaries		90,000	
Total current liabilities			$288,000
⑤ Long-term liabilities			
Notes payable (due Mar. 2023)		$ 35,000	
Bonds payable (due Dec. 2028)		290,000	
Total long-term liabilities			325,000
Total liabilities			$613,000
⑥ Owners' equity			
Common stock (1,000,000 shares)		$100,000	
Retained earnings		113,000	
Total owners' equity			213,000
Total liabilities & owners' equity			$826,000

1. The Balance Sheet

Assets* = *Liabilities + Owners Equity

- **Assets --** *Economic resources owned by a firm. Items can be tangible or intangible.*

- **Liquidity --** *Ease with which assets can be converted into cash.*

Classifying Asset

- Current asset
- Fixed asset
- Intangible asset

Classifying Assets

Current Assets -- *Items that can or will be converted to cash within one year.*

Cash: represents checking account balances

Marketable securities: short-term securities that can easily be sold and quickly converted to cash if additional funds are needed

Accounts receivable: sales that have been made but for which payment has not yet been received

Inventories: composed of raw materials, partially completed and finished products that haven't yet been sold

Classifying Assets

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Fixed Assets -

-

Long-term assets that are relatively permanent

Assets that the firm will use for more than one year

Example: *Land, buildings, or equipment*

Depreciation: a reduction in the value of fixed assets to reflect deterioration in the assets over time

Intangible Assets --
Long-term assets that have no physical form but do have value.

Example: Patents, trademarks, and goodwill.

PART 3

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Asset, Liabilities, Equity

Assets = Liabilities + Owners Equity

- **Liabilities --** *What the business owes to others - its debts.*

Classifying Liabilities

CURRENT (short term):		*LONG TERM*
Accounts Payable	**Notes Payable**	***Bonds Payable***
Current liabilities a firm owes for merchandise or services purchased on credit.	*Short or long-term liabilities a business promises to pay by a certain date.*	*Long-term liabilities that the firm must pay back.*

ASSET, LIABILITIES, EQUITY

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- **Owners' Equity --** *The amount of the business that belongs to the owners minus any liabilities of the owners.*

Owners' Equity

Additional paid-in capital

The dollar amount received from issuing common stock that exceeds par value

Retained Earnings

Accumulated earnings from the firm's profitable operations that are reinvested in the business.

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CASE 1: HARVEST GOLD'S BALANCE SHEET

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2. The Income Statement

- **Income Statement --** *The financial statement that shows a firm's bottom line - that is, its profit after costs, expenses, and taxes.*

- **Net Income/Net Loss --** *The revenue left over after costs and expenses.*

The formula for the income statement:

Revenue

- Cost of Goods Sold

= Gross Profit (gross margin)

- Operating Expenses

= Net Income before Taxes

- Taxes

= Net Income or Net Loss

PART 3

CASE 1: HARVEST GOLD'S INCOME STATEMENT

Notes:

① Revenues: Value of what's received from goods sold, services rendered, and other financial sources.

② Cost of goods sold: Cost of merchandise sold or cost of raw materials or parts used for producing items for resale.

③ Gross profit: How much the firm earned by buying or selling merchandise.

④ Operating expenses: Cost incurred in operating a business.

⑤ Net income after taxes: Profit or loss over a specific period after subtracting all costs and expenses, including taxes.

HARVEST GOLD
Income Statement
For the Year Ended December 31, 2018

① Revenues			
Gross sales		$720,000	
Less: Sales returns and allowances	$ 12,000		
Sales discounts	8,000	– 20,000	
Net sales			$700,000
② Cost of goods sold			
Beginning inventory, Jan. 1		$200,000	
Merchandise purchases	$400,000		
Freight	40,000		
Net purchases		440,000	
Cost of goods available for sale	$640,000		
Less ending inventory, Dec. 31		–230,000	
Cost of goods sold			410,000
③ Gross profit			$290,000
④ Operating expenses			
Selling expenses			
Salaries for salespeople	$ 90,000		
Advertising	18,000		
Supplies	2,000		
Total selling expenses		$110,000	
General expenses			
Office salaries	$ 67,000		
Depreciation	1,500		
Insurance	1,500		
Rent	28,000		
Light, heat, and power	12,000		
Miscellaneous	2,000		
		112,000	
Total operating expenses			222,000
Net income before taxes			$ 68,000
Less: Income tax expense			19,000
⑤ Net income after taxes			$ 49,000

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Income Statement

Net Sales		$20,000,000
Cost of Goods Sold		16,000,000
Gross Profit		$4,000,000
Selling Expense	$1,500,000	
General & Administrative Expenses	1,000,000	
Total Operating Expenses		2,500,000
Earnings before Interest and Taxes (EBIT)		$1,500,000
Interest Expense		500,000
Earnings before Taxes		$1,000,000
Income Taxes (at 30%)		300,000
Net Income		$700,000

3. The Statement of Cash Flows

- **Statement of Cash Flows --** *Reports cash receipts and cash disbursements related to the three major activities of a firm:*



PART 3

CASE 1: HARVEST GOLD'S STATEMENT CASH OF FLOW

Notes:

① Cash receipts from sales, commissions, fees, interest, and dividends. Cash payments for salaries, inventories, operating expenses, interest, and taxes.

② Includes cash flows that are generated through a company's purchase or sale of long-term operational assets, investments in other companies, and its lending activities.

③ Cash inflows and outflows associated with the company's own equity transactions or its borrowing activities.

HARVEST GOLD Statement of Cash Flows For the Year Ended December 31, 2018		
① Cash flows from operating activities		
Cash received from customers	$700,000	
Cash paid to suppliers and employees	(567,000)	
Interest paid	(64,000)	
Income tax paid	(19,000)	
Interest and dividends received	2,000	
Net cash provided by operating activities		$52,000
② Cash flows from investing activities		
Proceeds from sale of plant assets	$ 4,000	
Payments for purchase of equipment	(23,000)	
Net cash provided by investing activities		(19,000)
③ Cash flows from financing activities		
Proceeds from issuance of short-term debt	$ 2,000	
Payment of long-term debt	(8,000)	
Payment of dividends	(15,000)	
Net cash inflow from financing activities		(21,000)
Net change in cash and equivalents		$12,000
Cash balance (beginning of year)		3,000
Cash balance (end of year)		$15,000

Understanding Cash Flow

- Managing cash flow is a key consideration of a business and can be particularly challenging for small and seasonal businesses.
- **Cash Flow --** *The difference between cash coming in and cash going out of a business.*

Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin

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Understanding Accounting and Financial Information – Bagian 2



Learning Objectives

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BAGIAN 2

PART 4. Demonstrate **the application of ratio analysis** in reporting financial information.

PART 5. Identify the **different disciplines within the accounting profession.**

Using Financial Ratios

- **Ratio Analysis --** *The assessment of a firm's financial condition using calculations and financial ratios developed from the firm's financial statements.*

- Key ratios include:
  1. Liquidity ratios
  2. Leverage ratios
  3. Performance ratios
  4. Activity ratios



1. Liquidity Ratios

- Liquidity ratios measure a **firm's ability to turn assets into cash to pay its short-term debts**.
- Two key ratios are:
  1. **Current ratio** : is the ratio of a firm's current assets to its current liabilities.

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}}$$

Is organization financially secure for the short term (less than one year)? (2.0 is considered safe)

  2. **Acid-test ratio/quick ratio** (exclude inventory)

$$\textbf{Acid-test ratio} = \frac{\textbf{Current asset - inventory}}{\textbf{Current liabilities}}$$

What if sales drop off and we can't sell our inventory? Can we still pay our short-term debt? (0,5 – 1.0 is considered good)

This information is found on the firm's balance sheet.

HARVEST GOLD Balance Sheet December 31, 2018			
Assets			
① Current assets			
Cash		$ 15,000	
Accounts receivable		200,000	
Notes receivable		50,000	
Inventory		335,000	
Total current assets			$600,000
② Fixed assets			
Land		$ 40,000	
Building and improvements	$200,000		
Less: Accumulated depreciation	–90,000		
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Equipment and vehicles	$120,000		
Less: Accumulated depreciation	–80,000		
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Furniture and fixtures	$26,000		
Less: Accumulated depreciation	–10,000		
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Total fixed assets			206,000
③ Intangible assets			
Goodwill		$ 20,000	
Total intangible assets			20,000
Total assets			$826,000

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}} = \$2.08$$

$$\text{Acid-test ratio} = \frac{\text{Cash} + \text{Accounts receivable} + \text{Marketable securities}}{\text{Current liabilities}}$$

$$= \frac{\$265,000}{\$288,000} = 0.92$$

Liabilities and Owners' Equity		
④ Current liabilities		
Accounts payable	$ 40,000	
Notes payable (due June 2019)	8,000	
Accrued taxes	150,000	
Accrued salaries	90,000	
Total current liabilities		$288,000
⑤ Long-term liabilities		
Notes payable (due Mar. 2023)	$ 35,000	
Bonds payable (due Dec. 2028)	290,000	
Total long-term liabilities		325,000
Total liabilities		$613,000
⑥ Owners' equity		
Common stock (1,000,000 shares)	$100,000	
Retained earnings	113,000	
Total owners' equity		213,000
Total liabilities & owners' equity		$826,000

2. Leverage Ratios

- *Leverage ratios measure the degree to which a firm relies on borrowed funds in its operations.*

- *Key ratios include:*
  - *Debt to Owner's Equity Ratio : measures the degree to which the company is*

financed by borrowed funds that it must repay

$$\text{Debt to owners' equity ratio} = \frac{\text{Total liabilities}}{\text{Owners' equity}}$$

Anything above 100 percent shows a firm has more debt than equity

- This information is found on the firm's balance sheet.

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HARVEST GOLD Balance Sheet December 31, 2018			
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Total fixed assets			206,000
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Goodwill		$ 20,000	
Total intangible assets			20,000
Total assets			$826,000

$$\text{Debt to owners' equity ratio} = \frac{\text{Total liabilities}}{\text{Owners' equity}} = \frac{\$613,000}{\$213,000} = 288\%$$

Liabilities and Owners' Equity		
④ Current liabilities		
Accounts payable	$ 40,000	
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3. Profitability Ratios

- Profitability ratios measure **how effectively a firm's managers are using the firm's various resources to achieve profits**.
- There are 3 keys of profitability ratios include:
  1. **Basic earnings per share** (basic EPS) ratio helps determine the amount of profit a company earned for each share of outstanding common stock.

$$\text{Basic earnings per share} = \frac{\text{Net income after taxes}}{\text{Number of common stock shares outstanding}}$$

2. Return on sales/net profit margin, which tells us whether the firm is doing as well as its competitors in generating income from sales

$$\text{Return on sales} = \frac{\text{Net income}}{\text{Net sales}}$$

3. Profitability Ratios(Cont.)

3. **Return on equity (ROE),** indirectly measures risk by telling us how much a firm earned for each dollar invested by its owners

$$\text{ROE} = \frac{\text{net income}}{\text{owner's equity}}$$

- Stockholders prefer ROE to be very high because a **high ROE indicates a high return relative to the size of their investment**.

- This information is found on the firm's balance sheet and income statement

HARVEST GOLD
Income Statement
For the Year Ended December 31, 2018

① Revenues			
Gross sales		$720,000	
Less: Sales returns and allowances	$ 12,000		
Sales discounts	8,000	– 20,000	
Net sales			$700,000
② Cost of goods sold			
Beginning inventory, Jan. 1		$200,000	
Merchandise purchases	$400,000		
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④ Operating expenses			
Selling expenses			
Salaries for salespeople	$ 90,000		
Advertising	18,000		
Supplies	2,000		
Total selling expenses		$110,000	
General expenses			
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Depreciation	1,500		
Insurance	1,500		
Rent	28,000		
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Miscellaneous	2,000		
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Total operating expenses			222,000
Net income before taxes			$ 68,000
Less: Income tax expense			19,000
⑤ Net income after taxes			$ 49,000

$$\text{Basic earnings per share} = \frac{\text{Net income after taxes}}{\text{Number of common stock shares outstanding}}$$

$$= \frac{\$49,000}{1,000,000 \text{ shares}} = \$0.049 \text{ per share}$$

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HARVEST GOLD
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$$\text{Return on sales} = \frac{\text{Net income}}{\text{Net sales}} = \frac{\$49,000}{\$700,000} = 7\%$$

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Office salaries	$ 67,000		
Depreciation	1,500		
Insurance	1,500		
Rent	28,000		
Light, heat, and power	12,000		
Miscellaneous	2,000		
		112,000	
Total operating expenses			222,000
Net income before taxes			$ 68,000
Less: Income tax expense			19,000
⑤ Net income after taxes			$ 49,000

$$\text{Return on equity} = \frac{\text{Net income after tax}}{\text{Total owners' equity}} = \frac{\$49,000}{\$213,000} = 23\%$$

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HARVEST GOLD
Balance Sheet
December 31, 2018

Liabilities and Owners' Equity		
④ Current liabilities		
Accounts payable	$ 40,000	
Notes payable (due June 2019)	8,000	
Accrued taxes	150,000	
Accrued salaries	90,000	
Total current liabilities		$288,000
⑤ Long-term liabilities		
Notes payable (due Mar. 2023)	$ 35,000	
Bonds payable (due Dec. 2028)	290,000	
Total long-term liabilities		325,000
Total liabilities		$613,000
⑥ Owners' equity		
Common stock (1,000,000 shares)	$100,000	
Retained earnings	113,000	
Total owners' equity		213,000
Total liabilities & owners' equity		$826,000

4. Activity Ratios

- Activity ratios **measure how effectively management is turning over inventory.**

- Key ratios include:
  - **Inventory turnover ratio**, measures the speed with which inventory moves through the firm and gets converted into sales

$$\text{Inventory turnover ratio} = \frac{\text{cost of good sold}}{\text{average inventory}}$$

A lower-than-average inventory turnover ratio often indicates obsolete merchandise on hand or poor buying practices

- This information is found on the firm's income statement.

HARVEST GOLD Income Statement For the Year Ended December 31, 2018			
① Revenues			
Gross sales		$720,000	
Less: Sales returns and allowances	$ 12,000		
Sales discounts	8,000	– 20,000	
Net sales			$700,000
② Cost of goods sold			
Beginning inventory, Jan. 1		$200,000	
Merchandise purchases	$400,000		
Freight	40,000		
Net purchases		440,000	
Cost of goods available for sale	$640,000		
Less ending inventory, Dec. 31		–230,000	
Cost of goods sold			410,000
③ Gross profit			$290,000
④ Operating expenses			
Selling expenses			
Salaries for salespeople	$ 90,000		
Advertising	18,000		
Supplies	2,000		
Total selling expenses		$110,000	
General expenses			
Office salaries	$ 67,000		
Depreciation	1,500		
Insurance	1,500		
Rent	28,000		
Light, heat, and power	12,000		
Miscellaneous	2,000		
		112,000	
Total operating expenses			222,000
Net income before taxes			$ 68,000
Less: Income tax expense			19,000
⑤ Net income after taxes			$ 49,000

Inventory turnover ratio = $\frac{\textbf{cost of good sold}}{\textbf{average inventory}} = \frac{\$410,000}{\$215,000} = 1.9 \text{ times}$

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Average inventory = (Beginning inventory + Ending inventory) / 2

= (230.000 + 200.000) / 2 = 215.000

Limitations of Ratio Analysis

- Comparing some firms with an industry average can be difficult because the firms operate in more than one industry
- Accounting practices vary among firms

Summary

A. WHAT'S ACCOUNTING?, accounting -- *Recording, classifying, summarizing and interpreting of financial events and transactions in an organization to provide interested parties needed financial information.*

B. MANAGERIAL ACCOUNTING, managerial Accounting -- *Provides information and analysis to managers inside the organization to assist them in decision making*

C. FINANCIAL ACCOUNTING, financial accounting -- *financial information and analyses are generated for people primarily outside the organization.*

D.THE ACCOUNTING CYCLE-- *A six-step procedure that results in the preparation and analysis of the major financial statements.*

Referensi

- Nickels, W. G., McHugh, J. M., & McHugh, S. M. (2018). Understanding business(12th edition). Boston: McGraw-Hill/Irwin